Aga Khan University Examination Board

Notes from E-Marking Centre on SSC-II Business Studies Examination May 2019

Introduction

This document has been produced for the teachers and candidates of the Secondary School Certificate (SSC) Part II Business Studies. It contains comments on candidates' responses to the 2019 SSC-II Examination, indicating the quality of the responses and highlighting their relative strengths and weaknesses.

E-Marking Notes

This includes overall comments on candidates' performance on every question and *some* specific examples of candidates' responses which support the mentioned comments. Please note that the descriptive comments represent an overall perception of the better and weaker responses as gathered from the e-marking session. However, the candidates' responses shared in this document represent some specific example(s) of the mentioned comments.

Teachers and candidates should be aware that examiners may ask questions that address the Candidate Learning Outcomes (SLOs) in a manner that require candidates to respond by integrating knowledge, understanding and application skills they have developed during the course of study. Candidates are advised to read and comprehend each question carefully before writing the response to fulfil the demand of the question.

Candidates need to be aware that the marks allocated to the questions are related to the answer space provided on the examination paper as a guide to the length of the required response. A longer response will not in itself lead to higher marks. Candidates need to be familiar with the command words in the SLOs which contain terms commonly used in examination questions. However, candidates should also be aware that not all questions will start with or contain one of the command words. Words such as 'how', 'why' or 'what' may also be used.

General Comments

It was generally felt that many candidates lacked basic knowledge of business and its various aspects. Most candidates performed poorly in scenario based questions of the paper. These responses reflected that candidates did not comprehend the question well and responded to these questions generally without focusing on the specific requirement of the question. However, some candidates did well in these questions by referring to the specific demands of the questions. Many candidates were not clear about different calculations and formulae related to productivity and cash flows of the business. However, some candidates produced good responses to these questions by using correct formulae and working.

Note: Candidates' responses reproduced in this report have not been corrected for grammar, spelling, format or factual information.

Detailed Comments:

Constructed Response Questions (CRQs)

Question 1:

a. On January 01, 2019, the management of Alpha Food Limited decided to merge its business with a shoe manufacturing company.

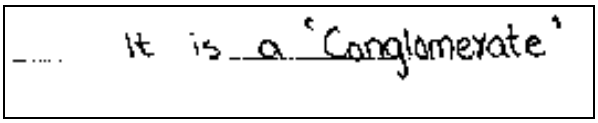
identify the type of merger depicted in the given scenario.

b. Describe any TWO advantages of the merger depicted in the given scenario.

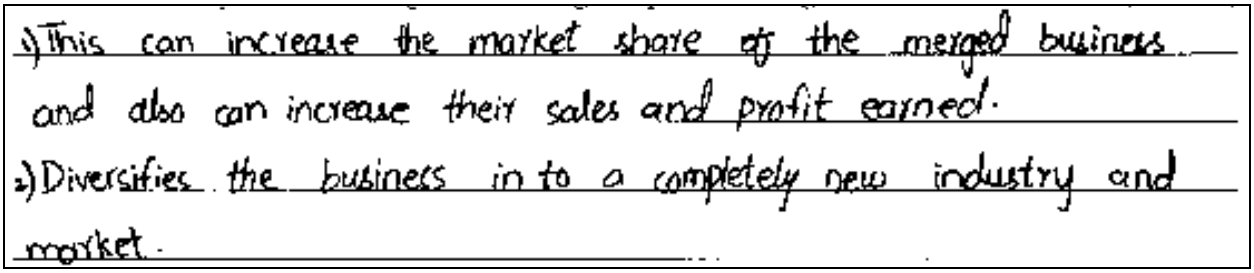
Better responses showed that the candidates were able to understand the question. They identified the type of merger as conglomerate and also showed appropriate understanding of various advantages of the identified merger. These responses mentioned advantages of the merger such as diversification, more opportunities, increased revenues and market shares.

Example:

a.



b.



Weaker responses showed that the candidates mixed the types of mergers with types of business organisations. Few responses identified the merger as a joint stock company, partnership or joint venture and mentioned their respective advantages as increased capital and nature of liabilities. Few responses showed inappropriate knowledge of the type of merger and identified it as either horizontal or vertical and therefore were not able to score good marks.

Example:

a. On January 01, 2019, the management of Alpha Food Limited decided to merge its business with a shoe manufacturing company.

Identify the type of merger depicted in the given scenario. (1 Mark)

Joint stock company

b. Describe any TWO advantages of the merger depicted in the given scenario. (2 Marks)

- To do work more quickly and efficiently
- By inventing the new ideas on the production of good to make the product more attractive.

Question 2:

Identify each type of government policy described in the given table.

S. No.	Description of Policy	Type of Policy
1	A policy that refers to the manner in which a country manages its currency with respect to foreign currencies.	
2	A policy by which a government adjusts its spending levels and tax rates to monitor and influence the economy.	
3	A policy that is used to control inflation and to develop economy.	

Better responses depicted the proper understanding of different types of policies adopted by the government in different situations. These responses correctly identified the type of policies as foreign exchange policy, fiscal policy and monetary policy.

Example:

S. No.	Description of Policy	Type of Policy
1	A policy that refers to the manner in which a country manages its currency with respect to foreign currencies.	Exchange Rate
2	A policy by which a government adjusts its spending levels and tax rates to monitor and influence the economy.	Fiscal policy
3	A policy that is used to control inflation and to develop economy.	Monetry policy

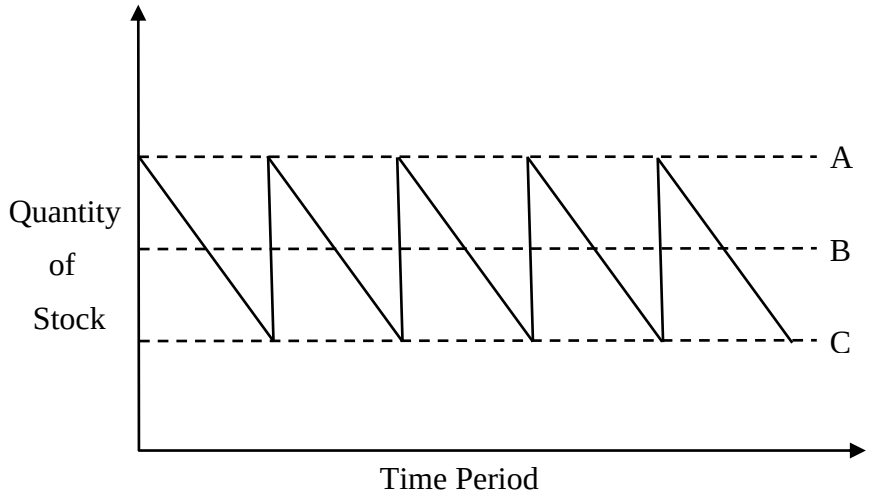
Weaker responses were not able to relate their understanding of types of government policies with the given situations and wrongly identified the type of policies as interest rate policy, tax rate etc. Few responses showed that the candidates were confused and mixed different policies.

Example:

1	A policy that refers to the manner in which a country manages its currency with respect to foreign currencies.	Fiscal policy
2	A policy by which a government adjusts its spending levels and tax rates to monitor and influence the economy.	monitory policy
3	A policy that is used to control inflation and to develop economy.	Hight Taxes

Question 3:

The given graph shows the different concepts of 'stock control'.



Name the regions marked (A, B and C) as either reorder quantity, maximum order quantity or minimum order quantity.

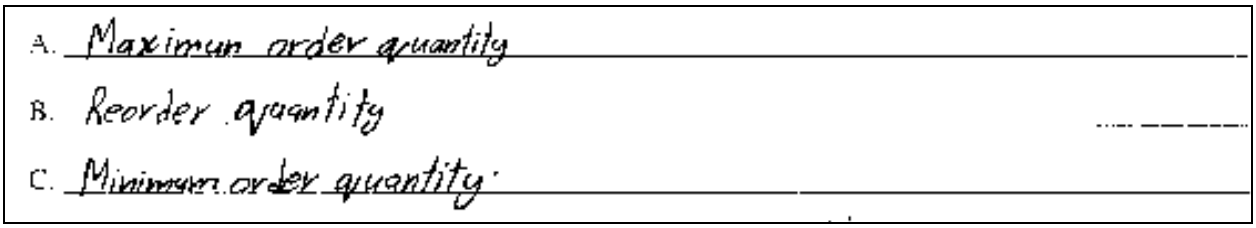
A._____

B._____

C._____

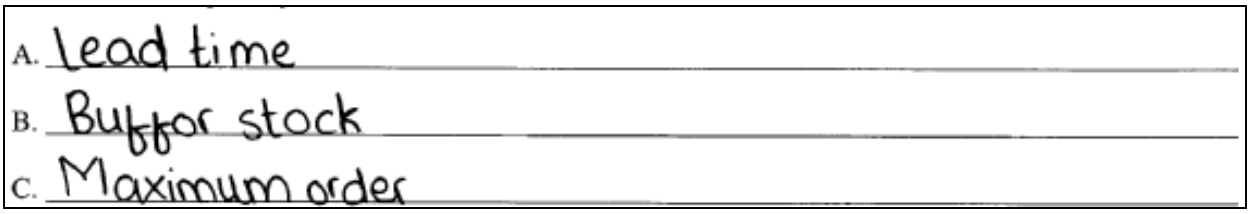
Better responses exhibited the candidates' correct understanding of stock control. They labelled the various regions of the graph correctly. These responses showed that candidates not only had a good understanding of the concepts of stock control but they also knew the graphical interpretation of stock control.

Example:



Weaker responses reflected that the candidates lacked the understanding of graphical interpretation of stock control. These responses incorrectly identified the regions as buffer stock, lead time and margin of safety. Few responses got confused and identified minimum order (C) as maximum order quantity (A) and vice versa.

Example:



Question 4:

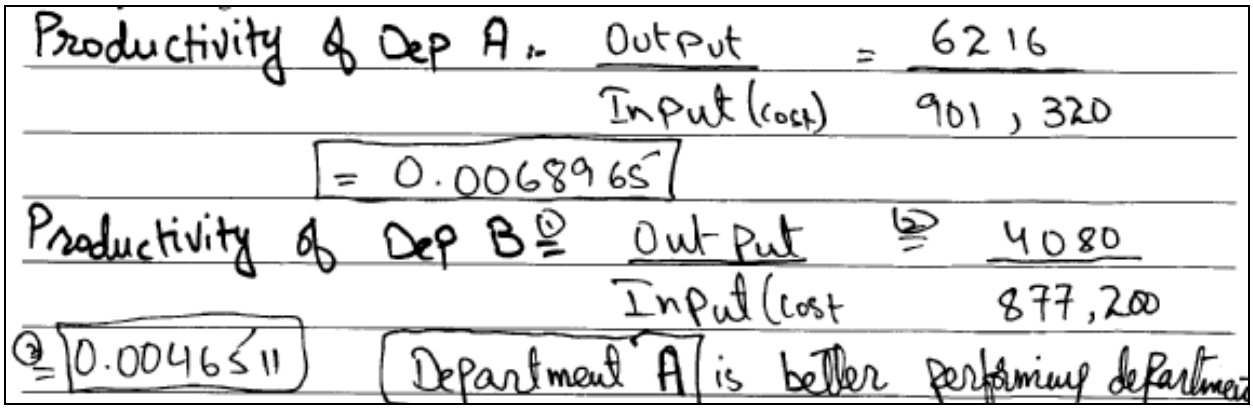
The given table shows the total output and the cost incurred by two departments of Al-Rehman Motors for the year 2018.

Particular	Department A	Department B
Total cost incurred (Rs)	901,320	877,200
Total output (units)	6216	4080

On the basis of productivity, identify the better performing department. Support your answer with necessary workings.

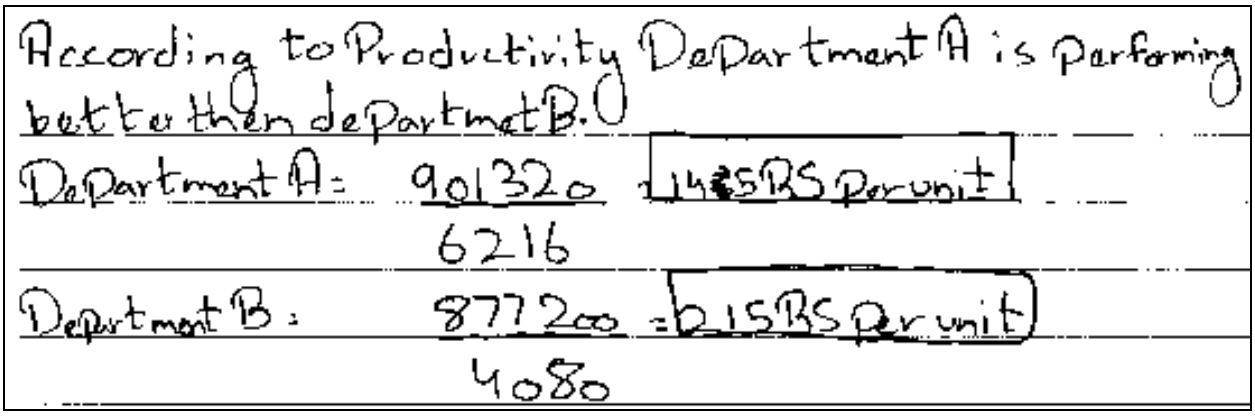
Better responses displayed the correct calculations and comparisons between the productivity of both the departments. These responses showed that the candidates were able to understand the requirement of the question by applying the formula of productivity (output/ input) and the result.

Example:



Most of the *weaker responses* applied the incorrect formula of productivity. The candidates calculated the amount of productivity by dividing input from output and hence were not able to solve the given question correctly. Few responses also showed incorrect interpretation/ comprehension of the calculated amount. These responses identified department A as a better performing department on the basis of its output ignoring the calculated amount of productivity which showed that department B was a better performing department.

Example:



Question 5:

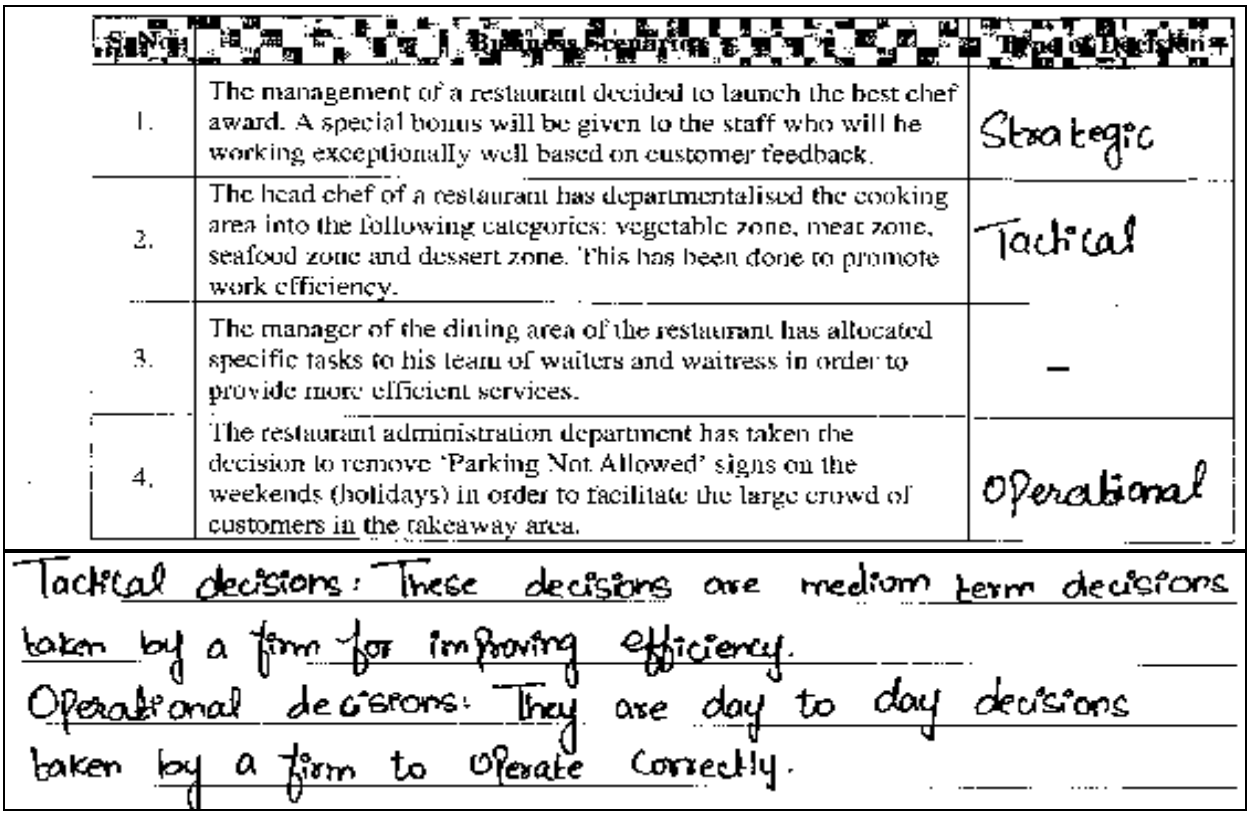
a. Identify the types of decisions in the following business scenarios. Attempt any THREE.

S. No.	Business Scenario	Type of Decision
1.	The management of a restaurant decided to launch the best chef award. A special bonus will be given to the staff who will be working exceptionally well based on customer feedback.	
2.	The head chef of a restaurant has departmentalised the cooking area into the following categories: vegetable zone, meat zone, seafood zone and dessert zone. This has been done to promote work efficiency.	
3.	The manager of the dining area of the restaurant has allocated specific tasks to his team of waiters and waitress in order to provide more efficient services.	
4.	The restaurant administration department has taken the decision to remove 'Parking Not Allowed' signs on the weekends (holidays) in order to facilitate the large crowd of customers in the takeaway area.	

b. Describe any TWO types of decisions identified in part a.

Better responses depicted that the candidates' had a sound knowledge of different types of business decisions as they were able to identify the correct type of decision in the given scenarios along with their correct descriptions. These responses mentioned that long-term planning and top management decisions are strategic; medium term and sub assisted decisions are tactical whereas, short-term and day-to-day decisions are operational.

Example:

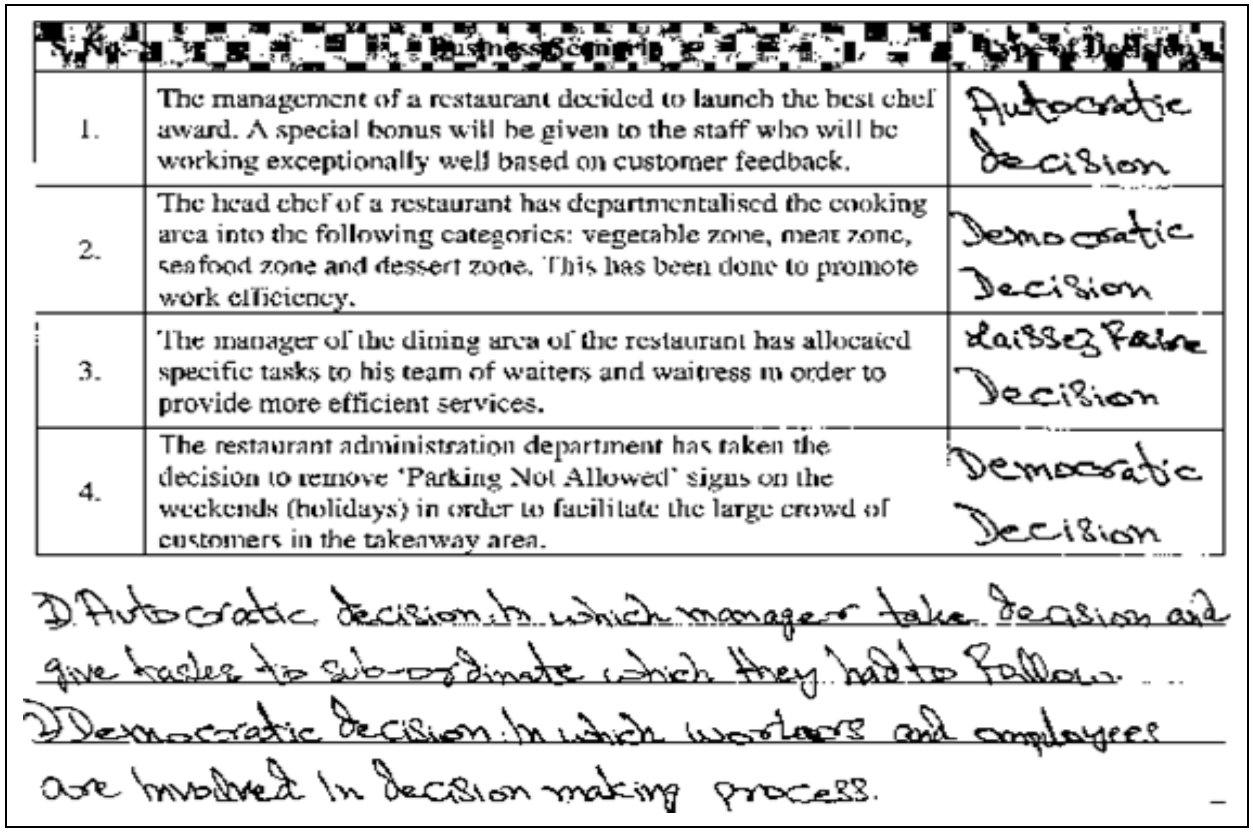


S.No.	Business Scenario	Type of Decision
1.	The management of a restaurant decided to launch the best chef award. A special bonus will be given to the staff who will be working exceptionally well based on customer feedback.	Strategic
2.	The head chef of a restaurant has departmentalised the cooking area into the following categories: vegetable zone, meat zone, seafood zone and dessert zone. This has been done to promote work efficiency.	Tactical
3.	The manager of the dining area of the restaurant has allocated specific tasks to his team of waiters and waitress in order to provide more efficient services.	–
4.	The restaurant administration department has taken the decision to remove 'Parking Not Allowed' signs on the weekends (holidays) in order to facilitate the large crowd of customers in the takeaway area.	Operational

Tactical decisions: These decisions are medium term decisions taken by a firm for improving efficiency.
Operational decisions: They are day to day decisions taken by a firm to operate correctly.

Weaker responses showed that the candidates wrongly identified the types of decisions as types of leadership styles. Most of the weaker responses identified the decisions as autocratic, democratic and laissez-faire. Few responses also mixed the types of decisions with reference to the structure of an organisation by identifying the decisions as centralised and decentralised decisions. Therefore, these responses were awarded less marks in this question.

Example:



No.	Business Scenario	Type of Decision
1.	The management of a restaurant decided to launch the best chef award. A special bonus will be given to the staff who will be working exceptionally well based on customer feedback.	Autocratic decision
2.	The head chef of a restaurant has departmentalised the cooking area into the following categories: vegetable zone, meat zone, seafood zone and dessert zone. This has been done to promote work efficiency.	Democratic Decision
3.	The manager of the dining area of the restaurant has allocated specific tasks to his team of waiters and waitress in order to provide more efficient services.	Laissez Faire Decision
4.	The restaurant administration department has taken the decision to remove 'Parking Not Allowed' signs on the weekends (holidays) in order to facilitate the large crowd of customers in the takeaway area.	Democratic Decision

D Autocratic decision in which manager or take decision and give tasks to sub-ordinate which they had to follow.
D Democratic decision in which workers and employees are involved in decision making process.

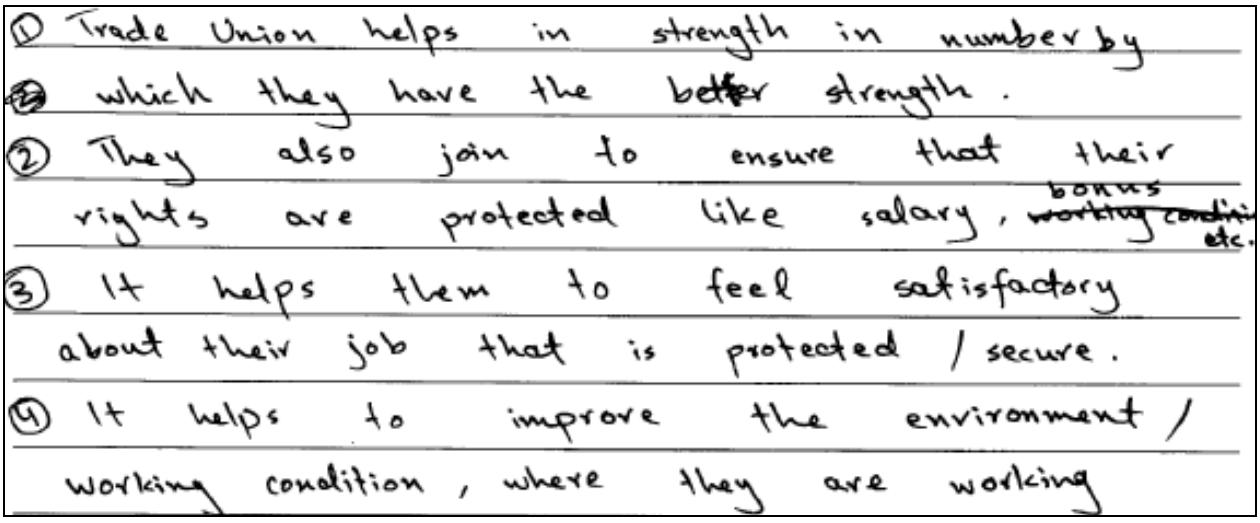
Question 6:

A trade union works as a 'Pressure Group' in a business organisation. It safeguards the workers' interest.

Explain FOUR reasons due to which a person may join such a union.

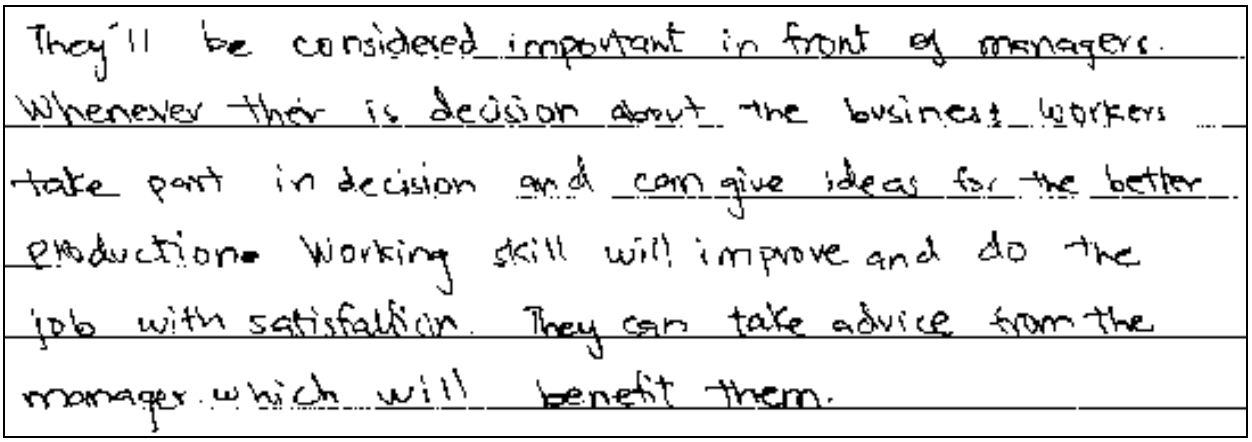
Better responses correctly explained the reasons for joining a trade union. These responses mentioned that employees join trade unions to make their voices heard, for better ergonomic conditions, better pay structure, suitable working hours and productive relationships between the employees and the management.

Example:

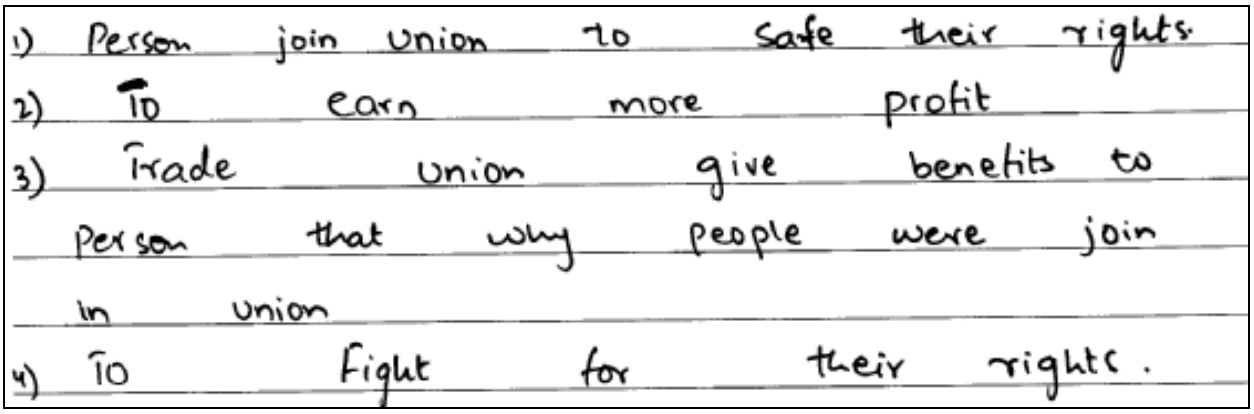

① Trade Union helps in strength in number by which they have the better strength.
② They also join to ensure that their rights are protected like salary, bonus working condition etc.
③ It helps them to feel satisfactory about their job that is protected / secure.
④ It helps to improve the environment / working condition, where they are working

Weaker responses reflected that most of the candidates were unable to either meet the demand of the question asked or they were unable to relate the benefits for employees of joining a trade union. Most of these responses rephrased the question and only mentioned that it will help employees to get their due rights.

Example 1:


They'll be considered important in front of managers. Whenever ther is decision about the business workers take part in decision and can give ideas for the better production. Working skill will improve and do the job with satisfaction. They can take advice from the manager which will benefit them.

Example 2:

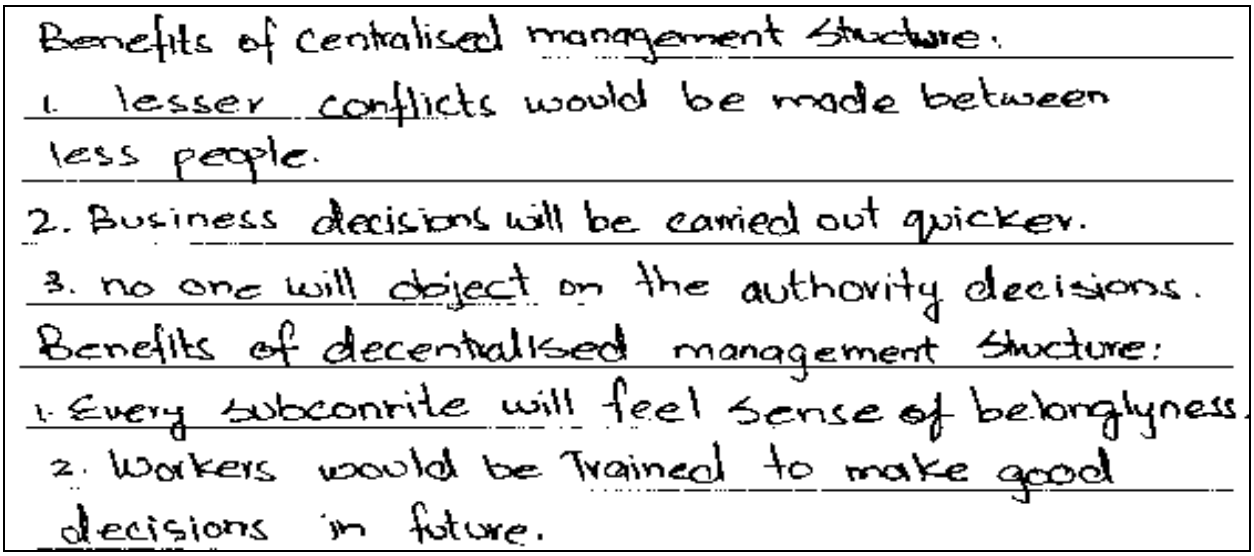


Question 7:

Discuss any THREE benefits of centralised management structure and any TWO benefits of decentralised management structure.

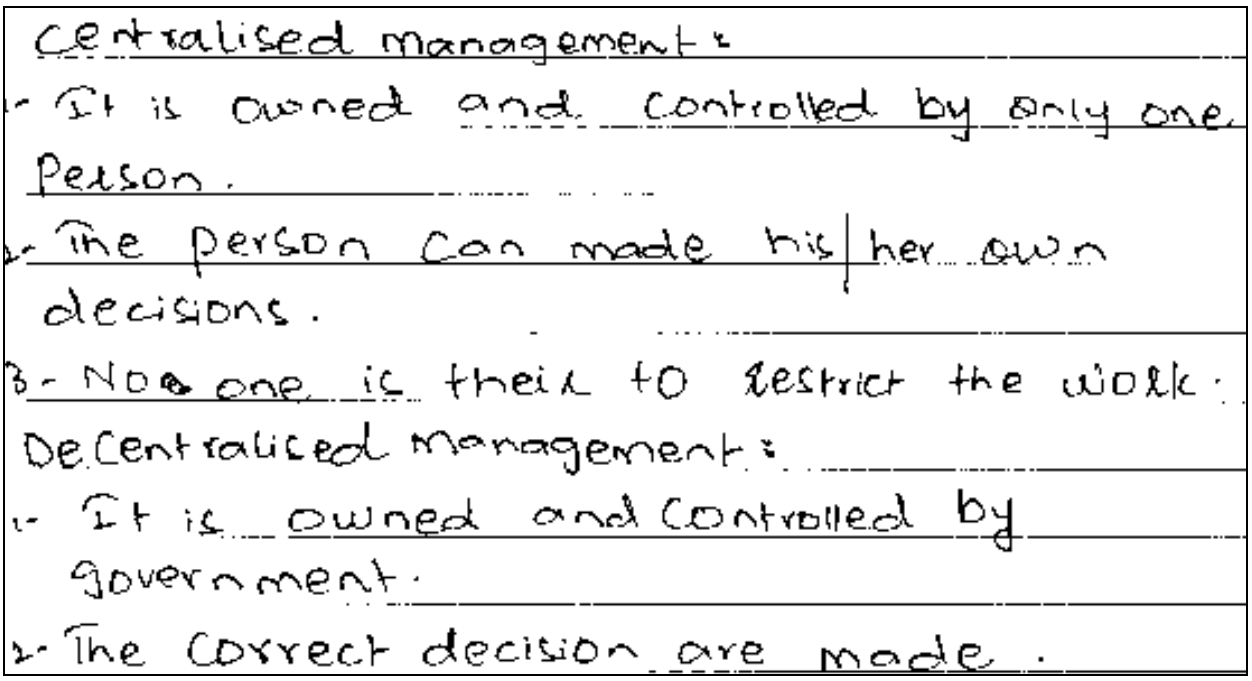
Better responses showed that the candidates have better understanding of type of management structures. Most of the benefits of centralised system highlighted by these responses included less conflict, better decision making, time saving and non-objection from employees. Furthermore, the benefits of a decentralised management system included points like motivation of employees, sense of belongingness within employees and better decision making.

Example:



Weaker responses showed that the candidates were unable to fulfil the requirement of the question. Most of these responses explained the characteristics of the centralised and decentralised structures of management instead of explaining their merits. Few responses mentioned benefits in terms of ownership of government, authority of the management, management takes its own decision without any participation etc.

Example:


Centralised management:
1- It is owned and controlled by only one person.
2- The person can made his/her own decisions.
3- No one is their to restrict the work.
Decentralised management:
1- It is owned and controlled by government.
2- The correct decision are made.

Question 8:

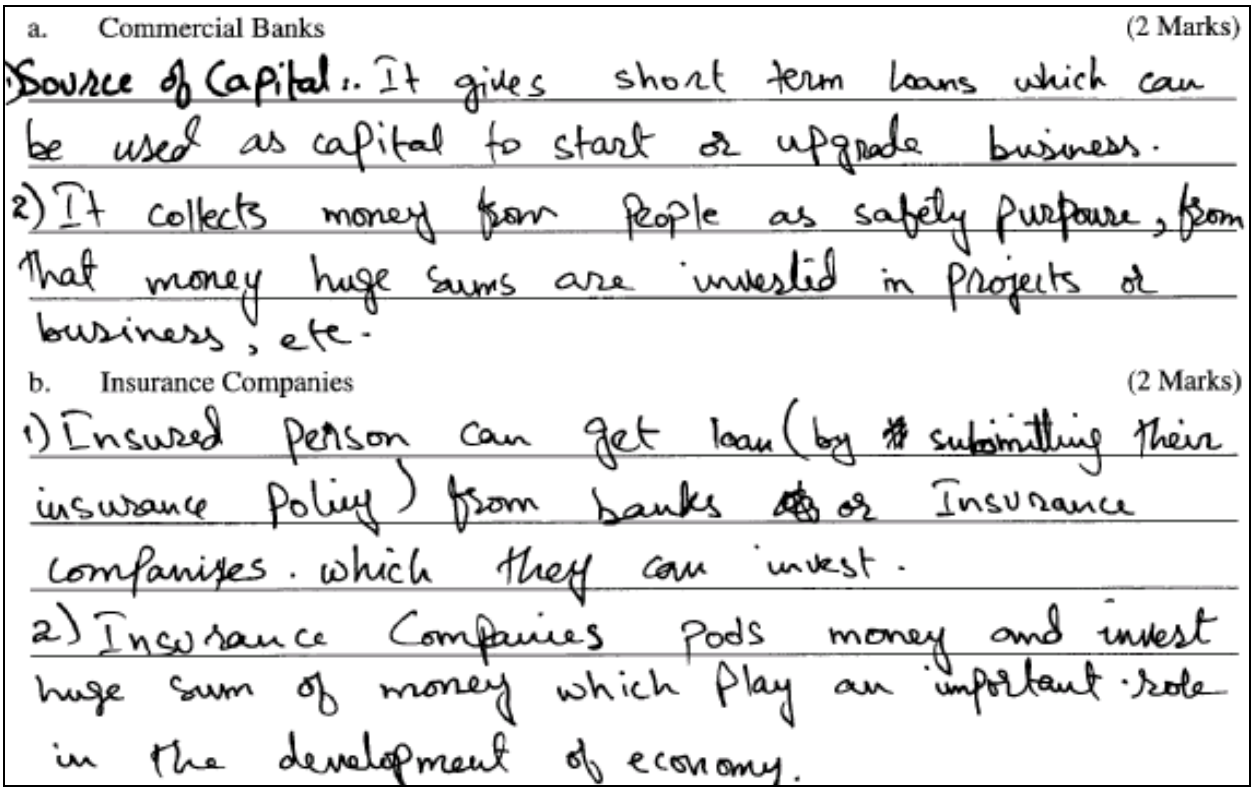
Explain any TWO roles of the given financial institutions in the development of an economy.

a. Commercial Banks

b. Insurance Companies

Better responses connected the roles of these financial institutions with the economy. Many responses mentioned that these institutions manage the flow of investment and saving in the economy. Furthermore the responses also stated that these institutions help in utilising/ circulating and creating credit within the economy. These institutions help other institutions in improving their performance by providing guidance to businesses and government related to economic development.

Example:



a. Commercial Banks (2 Marks)

1) Source of Capital :- It gives short term loans which can be used as capital to start or upgrade business.

2) It collects money from people as safety purpose, from that money huge sums are invested in projects or business, etc.

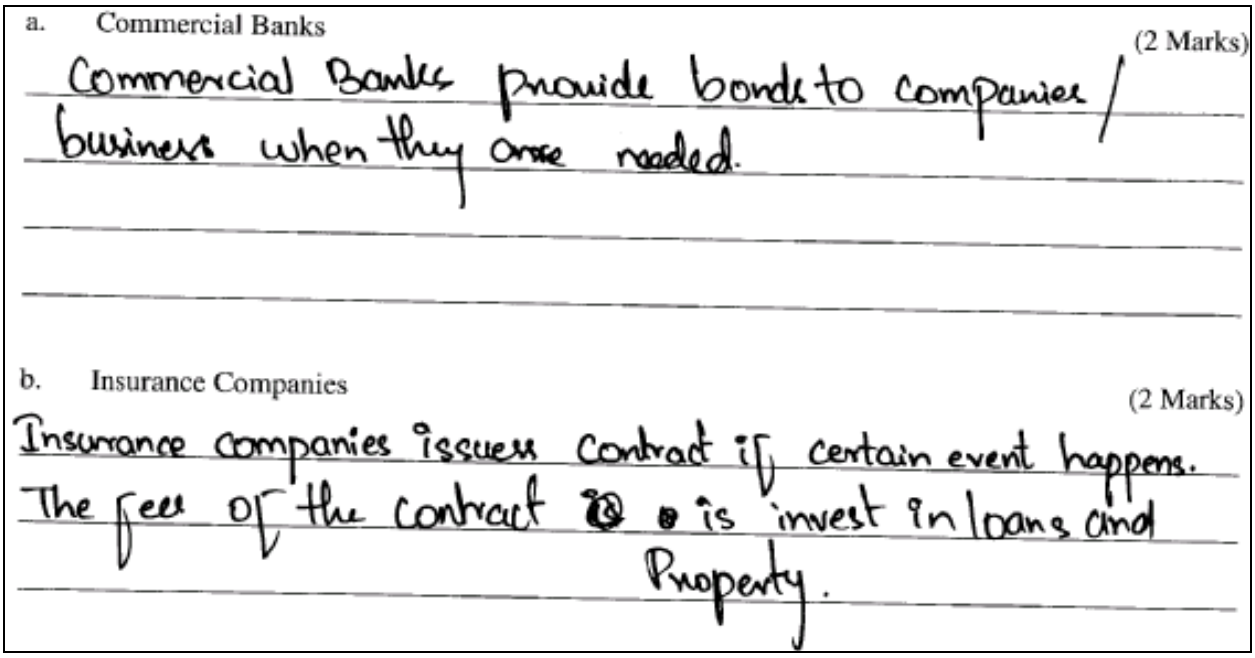
b. Insurance Companies (2 Marks)

1) Insured person can get loan (by submitting their insurance policy) from banks or Insurance companies. which they can invest.

2) Insurance Companies pods money and invest huge sum of money which play an important role in the development of economy.

Weaker responses showed that the candidates lacked understanding of working and functions of these financial institutions. Most of these responses mentioned functions such as the institutions accept deposits and advances loans, keep savings of others, accept utility bills, save individuals from risks, issue bonds and debentures of other businesses etc.

Example:



a. Commercial Banks (2 Marks)

Commercial Banks provide bonds to companies / buisness when they are needed.

b. Insurance Companies (2 Marks)

Insurance companies issues contract if certain event happens. The fees of the contract is invest in loans and Property.

Question 9:

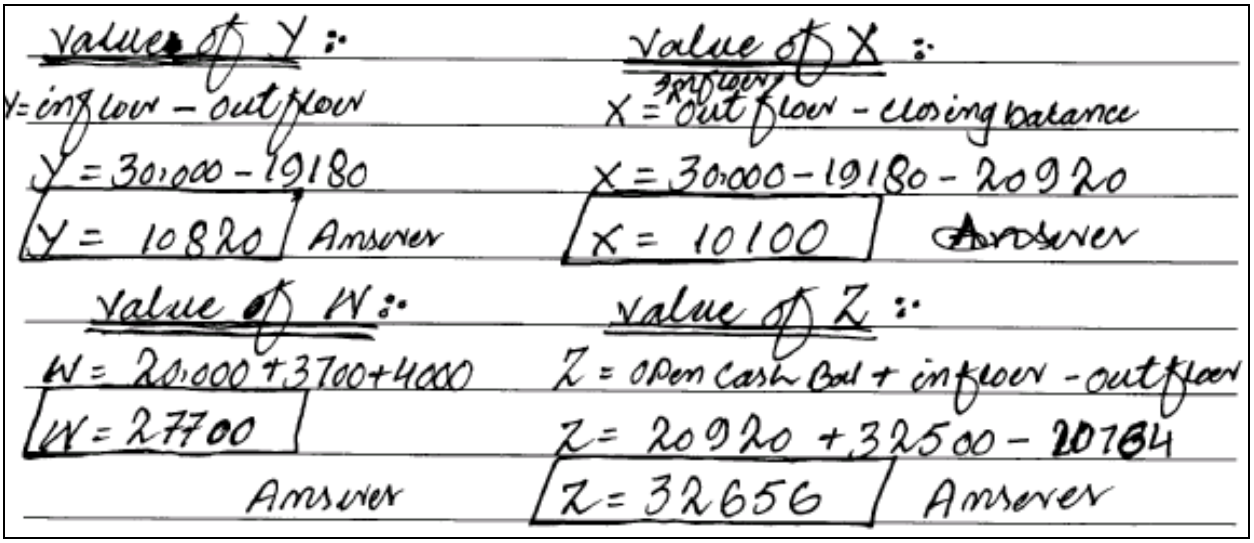
The following details are related to cash flow forecast of Basit Traders, as on February 01, 2018 for the upcoming quarter.

Particulars	February Amount (Rs)	March Amount (Rs)	April Amount (Rs)
Opening cash balance	Nil	**X**	20,920
Cash inflows:			
Sales revenue (cash)	20,000	22,000	24,200
Collection from customers	3,700	4,000	4,300
Rent of courtyard	4,000	4,000	4,000
Total cash inflows	**W**	**30,000**	**32,500**
Cash outflows:			
Commission	1,600	1,680	1,764
Payment to suppliers	13,000	14,000	15,000
Interest and other expenses	3,000	3,500	4,000
Total cash outflows	**17,600**	**19,180**	**20,764**
Net cash flow	**10,100**	**Y**	**11,736**
Closing cash balance	10,100	20,920	**Z**

Compute the missing values (W, X, Y, Z) from the given cash flow forecast of Basit Traders.

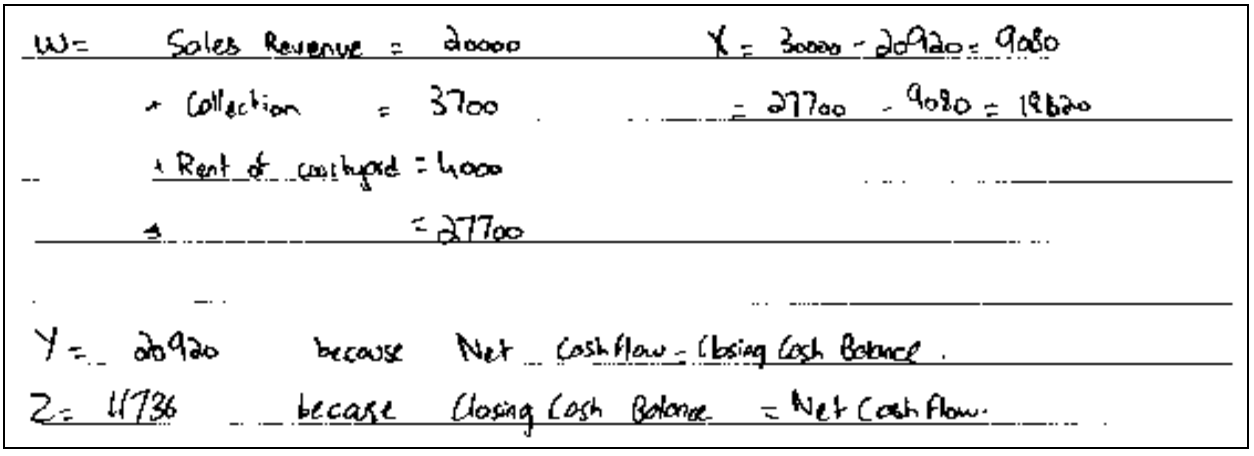
Better responses showed that candidates have good understanding of cash flow forecast. These responses calculated the correct values (W, X, Y and Z) as shown below

Example:



Weaker responses reflected that the candidates were unable to comprehend the given cash flow forecast. Due to this reason, they applied wrong formula and hence, were unable to attain high marks. Most of these responses calculated W, as Rs 27,700 correctly but were not able to calculate the rest of the amounts. These responses reflected that more efforts need to be done in regards to the understanding of the cash flow forecast rather than only in its calculation.

Example:



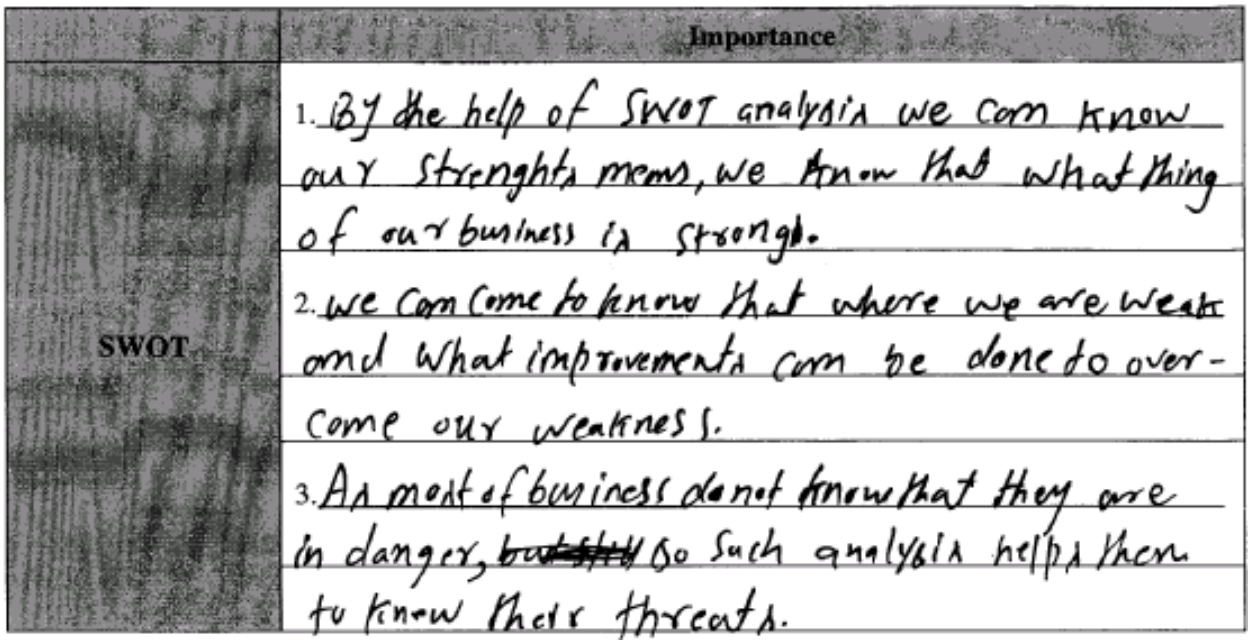
Question 10:

Complete the given table by describing the importance of SWOT (strengths, weakness, opportunities and threats) analysis.

	Importance
SWOT	1.
	2.
	3.

Better responses showed that the candidates were able to understand the requirement of the question correctly. These responses mentioned the importance of SWOT anaylsis. The significances of the analysis, highlighted the path adopted by the business such as assisting businesses in knowing and overcoming both internal and external challenges, strategising against possible threats and evaluating the business environment.

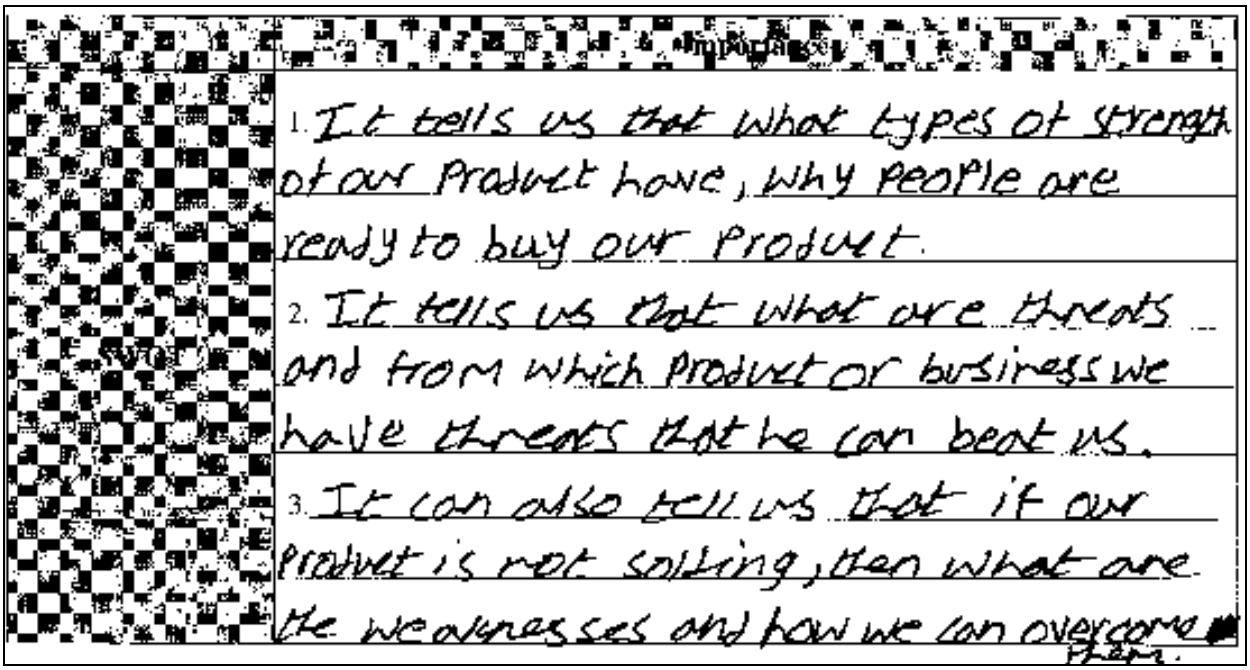
Example:



	Importance
SWOT	1. By the help of SWOT analysis we can know our Strenghts means, we know that what thing of our business is strongh.
	2. we can come to know that where we are weak and what improvements can be done to over-come our weakness.
	3. As most of business do not know that they are in danger, ~~bu~~ So such analysis helps them to know their threats.

Weaker responses reflected that the candidates did not fulfil the demand of the question and they either explained the components of SWOT analysis or gave general/ irrelevant descriptions. Such descriptions included points like SWOT is the vision of the business, it is used in improving the business quality and that it motivates employees.

Example:



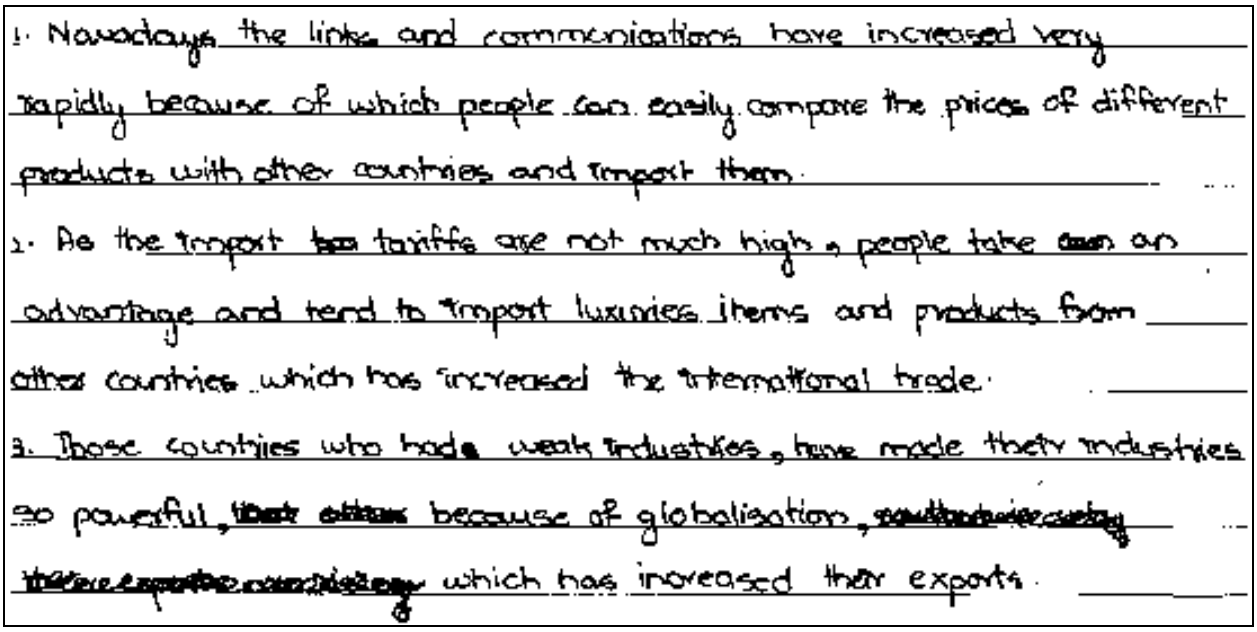
Question 11:

Globalisation is widely used to describe the increased worldwide competition between businesses.

Discuss any THREE reasons for increase in international trade due to globalisation.

Better responses correctly elaborated the impact of globalisation on trade. These responses mentioned that due to globalisation and various bilateral trade agreements, it is easier to trade large variety of products, helps in meeting the demands of local product. These responses mentioned that globalisation creates opportunities for large organisations to export excess products, transport and communicate effectively resulting in increase in trade and impact balance of payments of the trading countries.

Example:

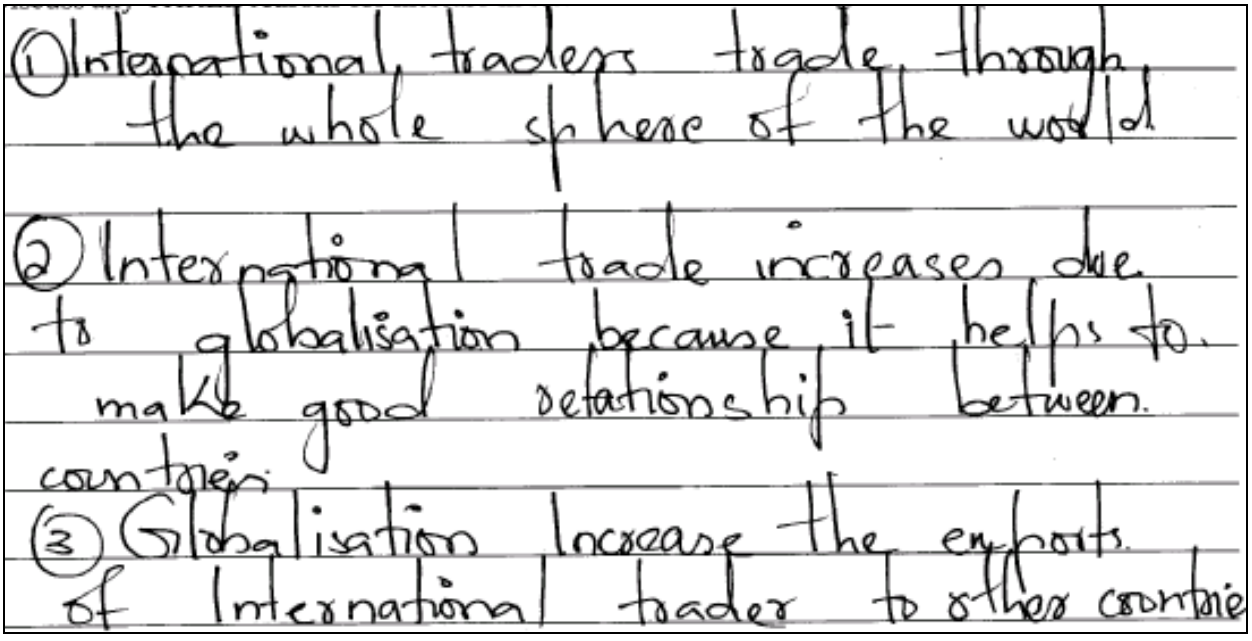

1. Nowadays the links and communications have increased very rapidly because of which people can easily compare the prices of different products with other countries and import them.

2. As the import ~~has~~ tariffs are not much high, people take ~~can~~ an advantage and tend to import luxuries items and products from other countries which has increased the international trade.

3. Those countries who had weak industries, have made their industries so powerful, ~~their others~~ because of globalisation, ~~southwestern~~ ~~their export countries~~ which has increased their exports.

Weaker responses reflected that the candidates were unable to understand the question and highlighted the characteristics of globalisation or international trade instead of impact of globalisation on international trade. These responses mentioned points like globalisation streamlines the relationship with the trading countries, makes communication easier, helps in enhancing caring and sharing and helps in improving lives and productivity.

Example:


(1) International traders trade through the whole sphere of the world

(2) International trade increases due to globalisation because it helps to make good relationship between countries

(3) Globalisation increase the exports of International trader to other countries

Extended Response Questions (ERQs)

This question was of TWO parts. Part a. was related to advantages and disadvantages of joint venture whereas, part b was about the roles of a finance manager. Most of the candidates attempted part a, but the average marks scored by candidates in part b were better as compared to part a.

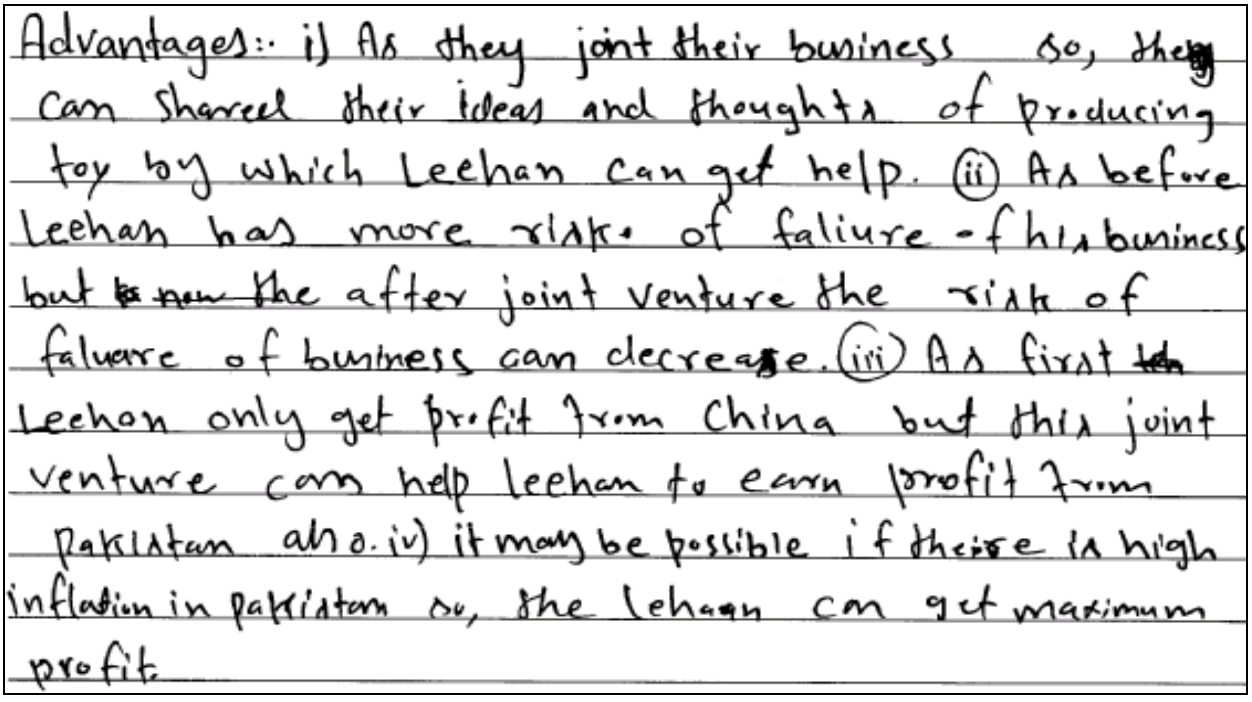
Question 12a:

Leehan is a large producer of toys in China. He is planning to have a joint venture with Shan Toys in Pakistan to meet the increased demand in Pakistan.

Discuss THREE advantages and TWO disadvantages to Leehan of this joint venture.

Better responses were able to relate the advantages of joint venture to the given situation and were able to highlight the advantages and disadvantages of the joint venture to Leehan. The advantages included by these responses were risk sharing, ideas sharing, cost saving, increase in market share, improved local knowledge, more profit etc. The disadvantages mentioned by these responses included points like profit sharing, possible conflicts, dependency on Shan Toys and loss may be because of Shan Toys.

Example:


Advantages:- i) As they joint their business so, they can shareed their ideas and thoughts of producing toy by which Leehan can get help. (ii) As before Leehan has more risks of faliure of his business but the after joint venture the risk of faluare of business can decreage. (iii) As first Leehan only get profit from China but this joint venture can help leehan to earn profit from Pakistan also. iv) it may be possible if theire is high inflation in pakistan so, the lehaan can get maximum profit.

Disadvantages: ① If the leehan is earning more profit than shan Toys, but still the profit is distributed among them equally. (Profit is equally shared).
② If leehan has different working style and shan has also diffrent style so due to which conflict can arise. blw them. ③ if the shan is being facing losess so, the leehan also have to bear it.

Weaker responses reflected that candidates were either not able to meet the demand of the question or they lack the understanding of the concept tested. Few of these responses, instead of referring to Leehan, referred to Shan Toys in their answers. These responses included advantages like Shan will import more goods and more profit etc.

Example:

Advantages:- ① They both get earned profit
② Shan toys import a toys in lauge amount from lehan toys producer
③ They both support each other and promoting that business

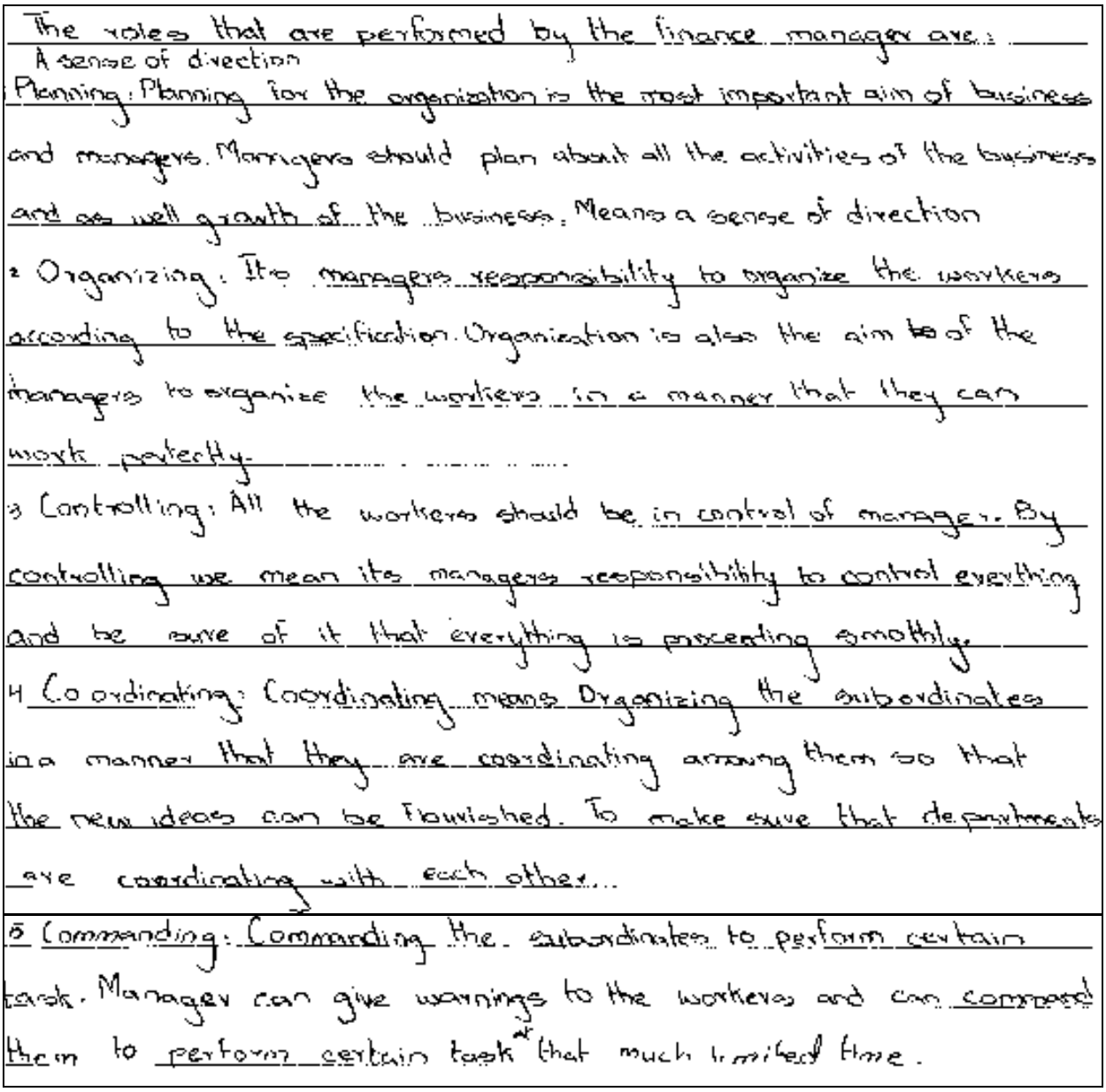
Disadvantages:-
① Shan toys in pakistan and they import a toys from china leehan producer of toys so they pay the Quotas / duties in lauge amount.
② Shan toys in pakistan is toy business is not sorvive for long time or that business not running well so he go in loss

Question 12b:

Describe any FIVE roles that are performed by a Finance Manager.

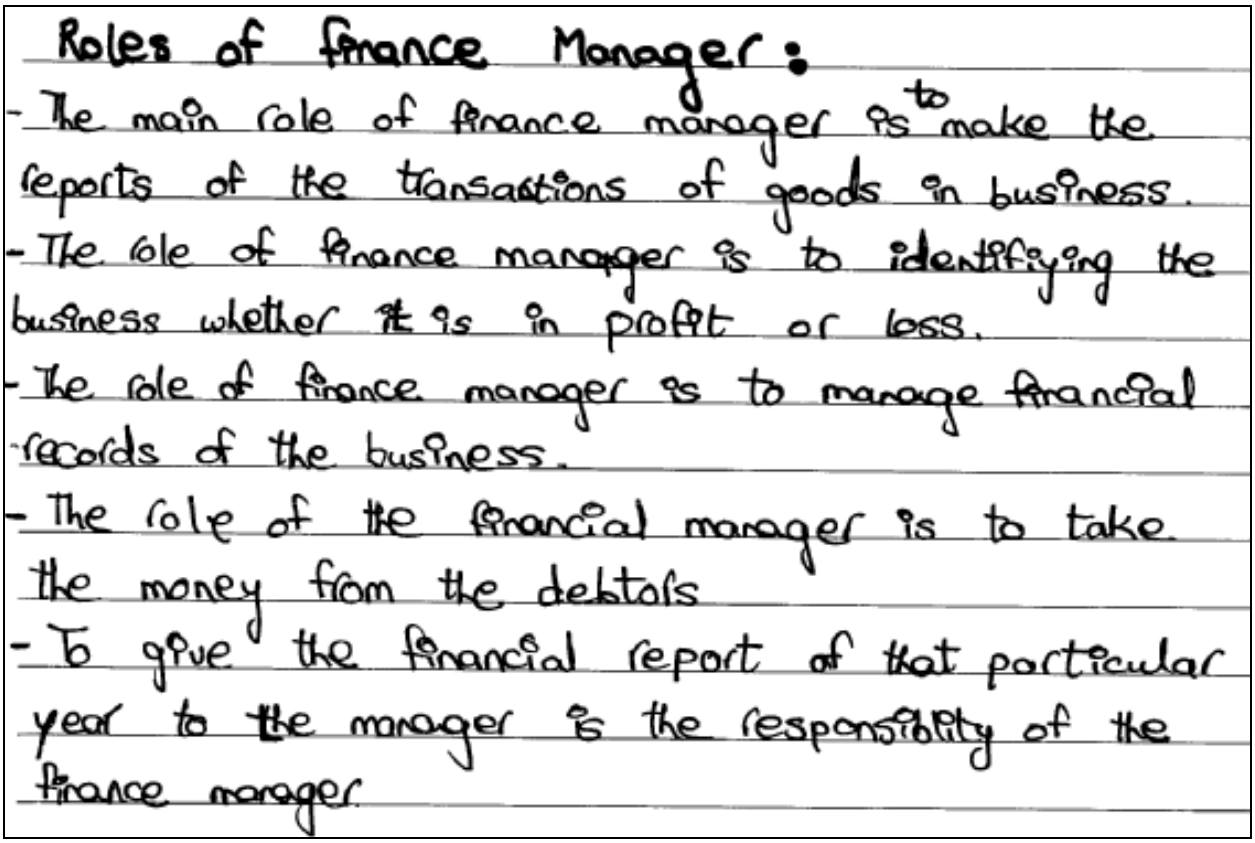
Better responses reflected that candidates fulfilled the demand of the question. These responses included the following roles of a finance manager i.e. plans for better and secure future in terms of finance, organises team members, builds a conducive work environment within his/ her team, selects and assigns the right job related to finance to the appropriate individual of the team, controls and takes responsibility of the team members and the financial tasks both.

Example:


The roles that are performed by the finance manager are:
A sense of direction
1 Planning: Planning for the organization is the most important aim of business and managers. Managers should plan about all the activities of the business and as well growth of the business. Means a sense of direction
2 Organizing: Its managers responsibility to organize the workers according to the specification. Organization is also the aim be of the managers to organize the workers in a manner that they can work perfectly.
3 Controlling: All the workers should be in control of managers. By controlling we mean its managers responsibility to control everything and be sure of it that everything is proceeding smoothly.
4 Co ordinating: Coordinating means Organizing the subordinates in a manner that they are coordinating among them so that the new ideas can be flourished. To make sure that departments are coordinating with each other.
5 Commanding: Commanding the subordinates to perform certain task. Manager can give warnings to the workers and can command them to perform certain task at that much limited time.

Weaker responses depicted that candidates were unable to relate the role of a financial manager's role. These responses were general and mentioned that the manager will plan, organise, command, control and coordinate with the team members. Few of these responses mixed the roles of a financial manager with that of a bookkeeper or with the accounts manager. These responses mentioned that the manager will prepare financial statements, give salaries to employees, prepare data for maintaining its records, etc.

Example:


Roles of finance Manager:
- The main role of finance manager is to make the reports of the transactions of goods in business.
- The role of finance manager is to identifying the business whether it is in profit or loss.
- The role of finance manager is to manage financial records of the business.
- The role of the financial manager is to take the money from the debtors
- To give the financial report of that particular year to the manager is the responsibility of the finance manager.

This question was of TWO parts. Part a was related to the process of collective bargaining whereas, part b was about advantages of a single union agreement. Most of the candidates attempted part b and did well in this question as compared to part a.

Question 13a:

In order to demand higher wages, the trade union of Absar Limited has planned to announce a strike. In order to cope with the situation, the management has planned to do collective bargaining.

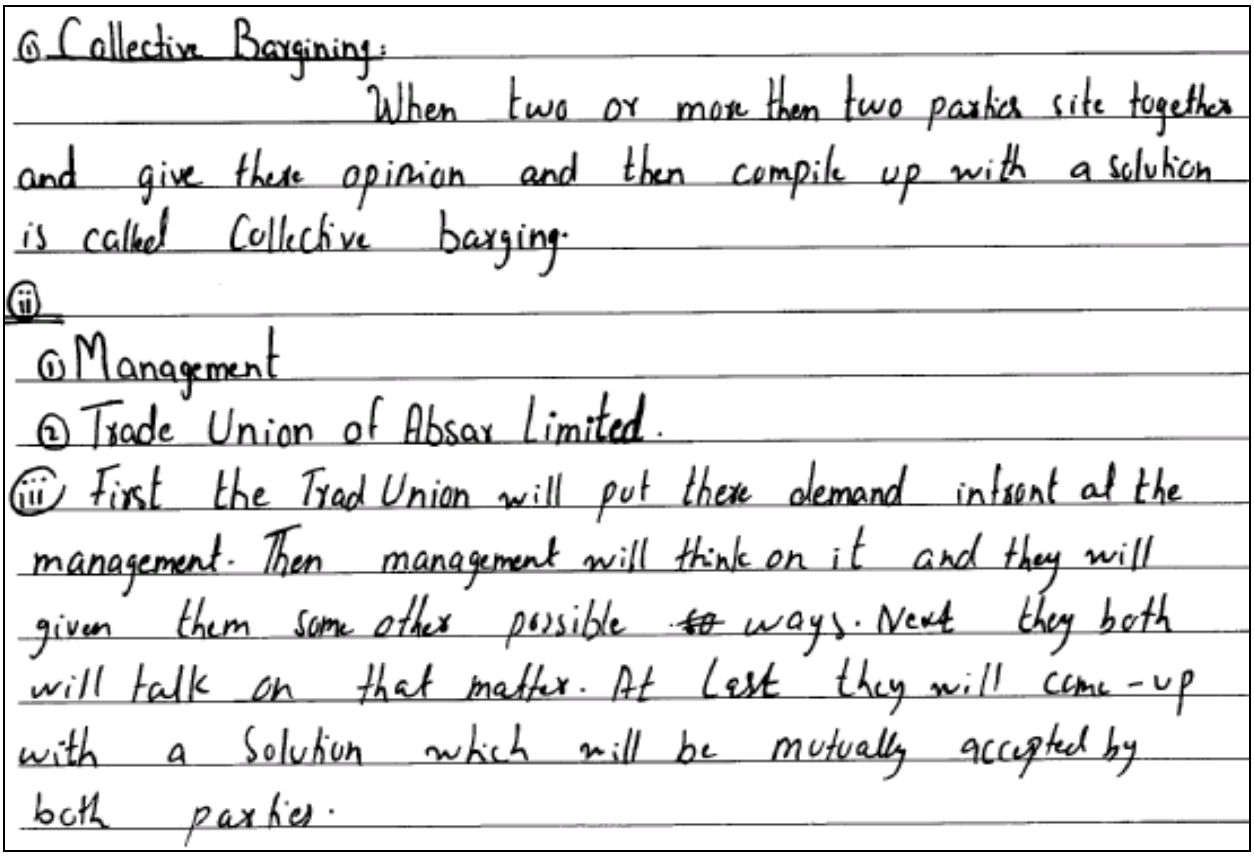
i. Define the term 'collective bargaining'.

ii. Discuss the parties involved in collective bargaining.

iii. Explain the process of collective bargaining to resolve the given issue.

Better responses highlighted that the candidates showed a good understanding of the term 'collective bargaining'. These responses mentioned that it is a negotiation between the workers and management of an organisation. These responses also mentioned that in collective bargaining, the participants come together, discuss the issues and come to common terms before the end of the meeting to resolve a particular problem.

Example:



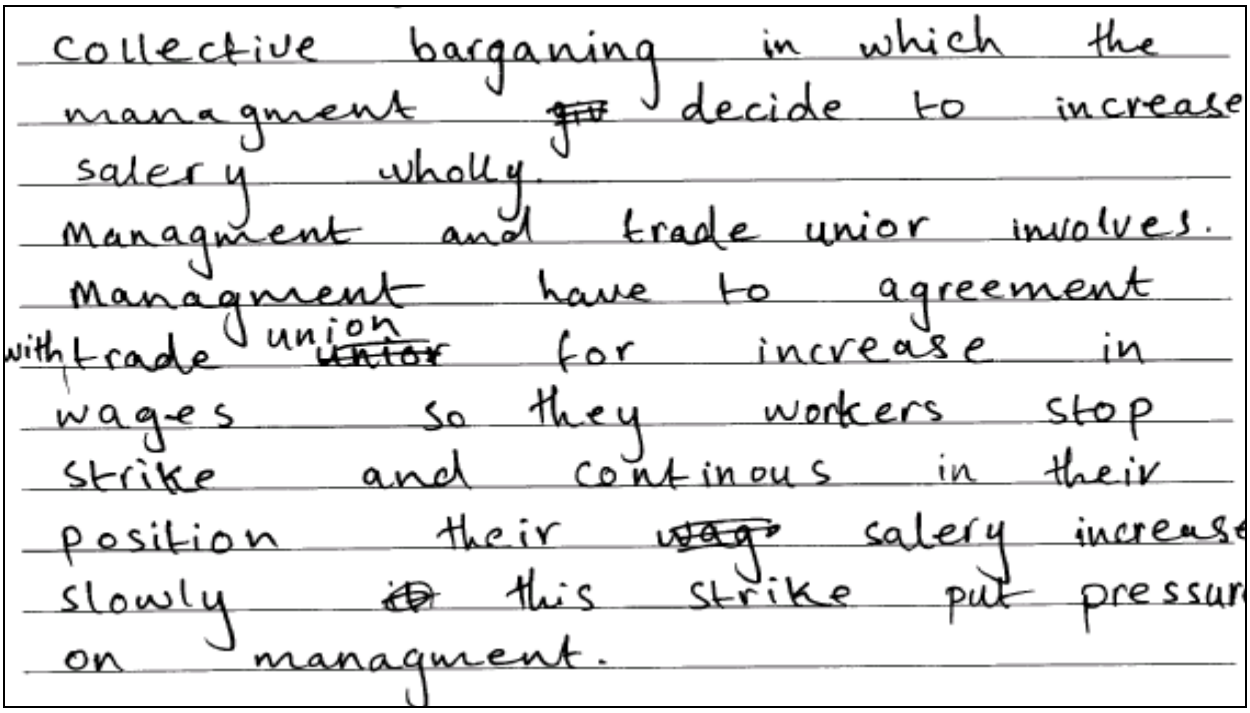
(i) Collective Bargining:
When two or more then two parties site together and give there opinion and then compile up with a solution is called Collective barging.

(ii)
① Management
② Trade Union of Absar Limited.

(iii) First the Trad Union will put there demand infront of the management. Then management will think on it and they will given them some other possible ~~to~~ ways. Next they both will talk on that matter. At Last they will come-up with a Solution which will be mutually accepted by both parties.

Weaker responses reflected that the candidates lacked proper understanding of the concept. These responses were not able to identify the parties with reference to the given situation. While explaining the process, most of these responses stated the process through which management is forced to or pressurised to agree on the demands of the employees/ trade union. Few of these responses showed that candidates were able to answer part i and ii, but were unable to answer part iii.

Example:


collective barganing in which the managment ~~gre~~ decide to increase salery wholly. Managment and trade unior involves. Managment have to agreement with trade union ~~unior~~ for increase in wages so they workers stop strike and continous in their position their ~~salery~~ salery increase slowly ~~it~~ this strike put pressur on managment.

Question 13b:

Alpha Steel is a manufacturer of iron and steel. The management and workers of Alpha Steel have signed a single union agreement.

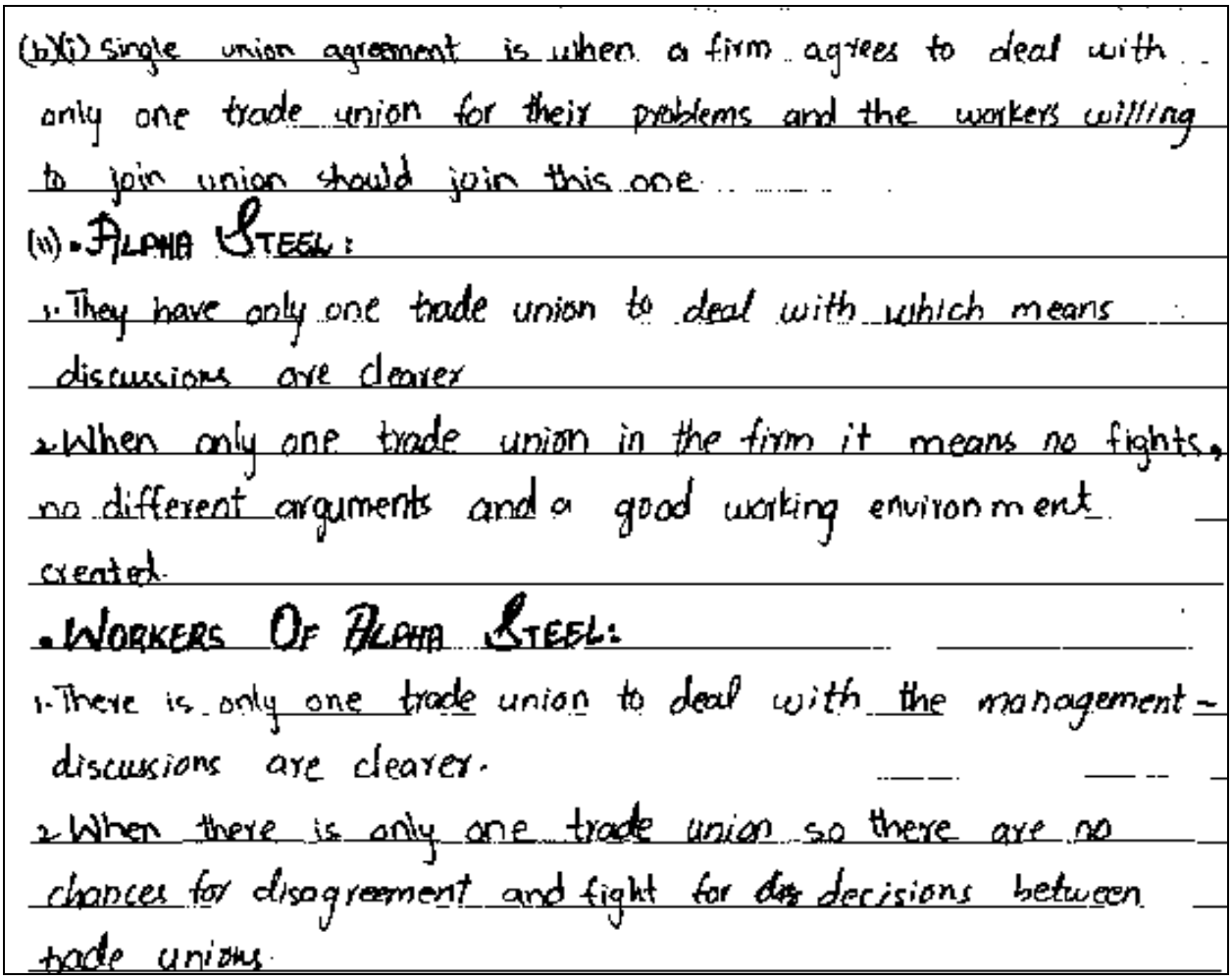
i. Define single union agreement.

ii. Discuss TWO advantages of having a single union agreement to the following parties:

- Alpha Steel
- Workers of Alpha Steel.

Better responses showed a good understanding of the single union agreement. Candidates were able to mention key features of single union trade union and were also able to explain the advantages of it to both stakeholders of the union. The advantages included were negotiation with one union, time saving, no difference of opinion; employees know where to raise their concerns and creating a healthy work environment, etc.

Example:


(b)(i) Single union agreement is when a firm agrees to deal with only one trade union for their problems and the workers willing to join union should join this one.

(ii) • ALPHA STEEL:

1. They have only one trade union to deal with which means discussions are clearer

2. When only one trade union in the firm it means no fights, no different arguments and a good working environment created.

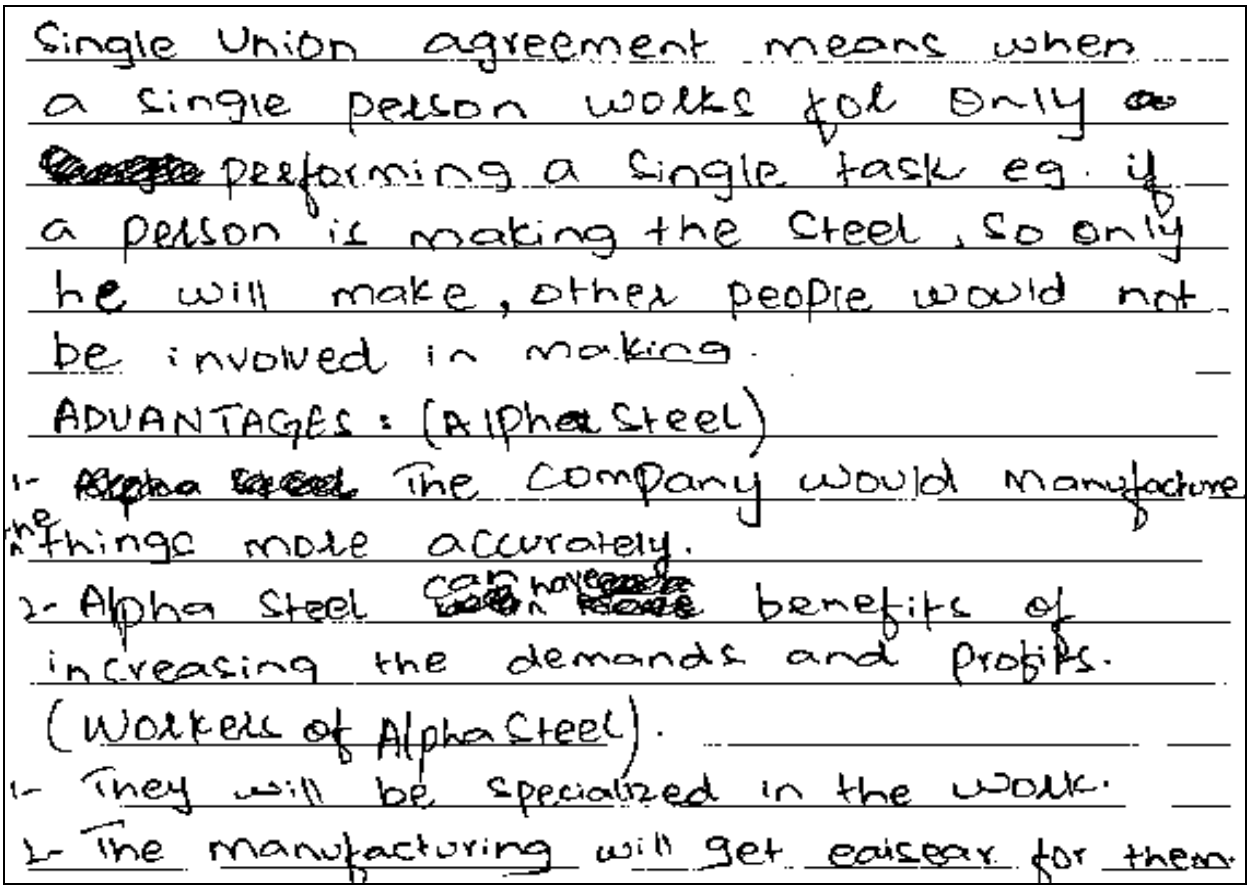
• WORKERS OF ALPHA STEEL:

1. There is only one trade union to deal with the management - discussions are clearer.

2. When there is only one trade union so there are no chances for disagreement and fight for decisions between trade unions.

Weaker responses reflected that the candidates lacked knowledge of single union agreement. Most of these responses showed candidates referring single union agreement to single owner business and mentioned irrelevant and unrelated advantages. These advantages included profitability, specialisation of labour, better resource utilisation, more workers, easy management and easy formation.

Example:


Single Union agreement means when a single person works for only performing a single task eg. if a person is making the steel, so only he will make, other people would not be involved in making.

ADVANTAGES: (Alpha Steel)

1- The company would manufacture the things more accurately.

2- Alpha Steel benefits of increasing the demands and profits.

(Workers of Alpha Steel).

1- They will be specialized in the work.

2- The manufacturing will get easier for them